Sentiment Shift

Weekly Note 11.13.26



MITCH CLODFELTER
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“I don’t tick. I am not a machine. If I did tick, I should have no views on it, and you had better ask the winder.”

- J.R.R. Tolkien

Happy Friday. I’ll start off this week with a short rant before diving into market view as always. It’s spreads season.

We’re at a bit of a weird time right now in a lot of industries. A lot of people are seeing their work become easier and easier due to technology adoption, while the output seemingly gets worse, margins for conventional production are uber tight, all while revenues keep growing somehow for some people/companies.

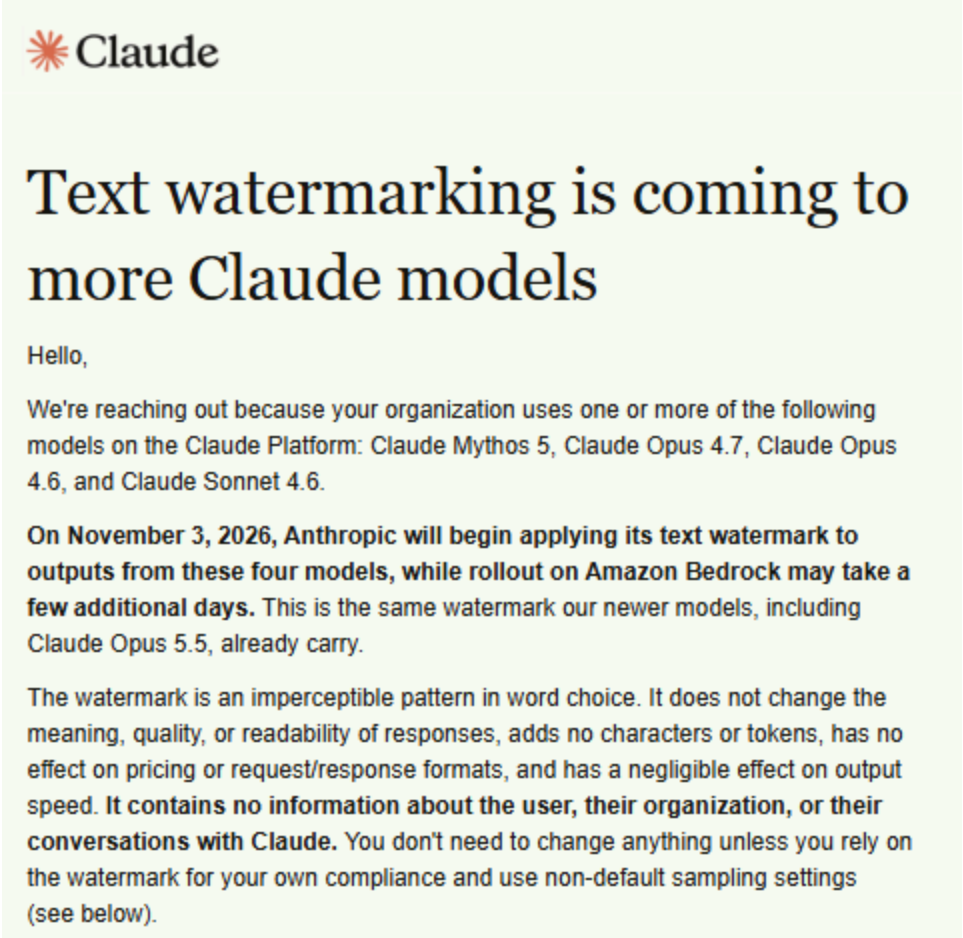
Everything has become a numbers game. How many phone calls can your automated agent make that turn into leads? How many emails can you send out? How much information can we pack onto one page or chart that someone may find valuable and send us money?

I think we can all see that shift. It makes the persons super profitable who are well positioned physically, while the brain drain folks are left trying to tackle by the shirttails. To position oneself better in the physical

market takes more money than ever, making it downright confusing which path to follow.

I don’t have any revelations on how it is all going to progress but I do have an optimistic view. People are noticing differences in quality because tells are built into the products everyone is using. Let me explain:

The watermark for AI usage is not a ‘made by claude’ stamp. Rather it is a pattern in the series of words that the LLM puts out. Late October Anthropic sent out this statement.



Claude

Text watermarking is coming to more Claude models

Hello,

We're reaching out because your organization uses one or more of the following models on the Claude Platform: Claude Mythos 5, Claude Opus 4.7, Claude Opus 4.6, and Claude Sonnet 4.6.

On November 3, 2026, Anthropic will begin applying its text watermark to outputs from these four models, while rollout on Amazon Bedrock may take a few additional days. This is the same watermark our newer models, including Claude Opus 5.5, already carry.

The watermark is an imperceptible pattern in word choice. It does not change the meaning, quality, or readability of responses, adds no characters or tokens, has no effect on pricing or request/response formats, and has a negligible effect on output speed. **It contains no information about the user, their organization, or their conversations with Claude.** You don't need to change anything unless you rely on the watermark for your own compliance and use non-default sampling settings (see below).

Imperceptible is my favorite word there. Because it is not imperceptible. Human brains were designed to notice patterns. It helps us solve

problems quicker the second time, so we become more efficient and thus more productive. It is not hard, because it is hard wired into our brains. I passed second-year high school French because I noticed patterns in the testing algorithm. So did most of my class.

I've spent enough time with the LLMs recently that I'm noticing those text patterns everywhere. I'm fairly confident that most people will notice the same as time progresses. I've heard gradeschoolers on the train laugh about something they see online that is obviously AI. I've been around law students that complain when they have to read an article that follows a barfy AI text pattern. We went from 'wow these things are amazing they write entire essays' to 'huuuhghgh I hate what I'm reading' in two years.

'Here is the part to watch,' 'It's not this, it's that,' 'Farmers pay attention here' They give you short sentences and colorful graphics all designed to grab your attention.

It is supposed to be easily digestible, but I find it more difficult to read what an author's point truly is.

My problem with it is that it implies that your readers are either too uneducated or too busy to digest a well explained thought.

I've been guilty of it in the past, when I wasn't working for myself and was lazy. I would use an LLM to help me summarize a bunch of wires into my own wire. I would often heavily edit that wire in my own words, but the quality still suffered. It became a daily blurb of the same information iterated in a slightly different way. Patterns that my readers surely noticed. Patterns that the brain would skim over. But hey, it fulfilled the requirement and gave the people the information they needed. No one can argue the information was not there. It just sucked.

It's a bit difficult because the information in front of us rarely calls for daily engagement, but that is what pays the rent. Most valuable

monetary choices are the result of a methodical process and discipline. **Not** a single piece of information that calls for action.

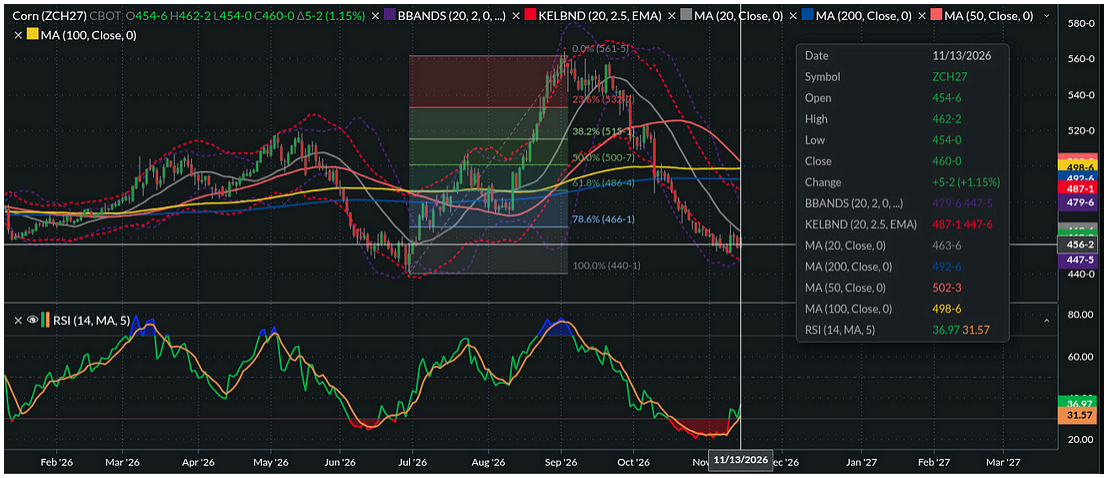
So, all that said, lets dive in. These are my opinions only, not trading advice. Don't be weird, consider your own situations.

Subscribed

Corn

The corn has closed in a ~10 cent range since November began. In that time we have had a USDA report and arguments about where the crop is and is not. Still, a 10 cent range.

March Corn ~ Daily



We have traded out of oversold RSI territory, which we were in for a significant period of time compared to other down cycles. We have not touched the bottom band (purple) since early October, which may lead some to believe we could do so before the trend is reversed.

You have had ample time to re-own corn sales if that has been your desire. You still can.

Corn (ZCK27) CBOT | Open: 462-4 | Volume: 22967
467-0 ▲ +4-2 (0.92%) | High: 469-6 | Bid x Size: 466-6 x 471
As of 9:45 AM 11/13/2026 | Low: 461-6 | Ask x Size: 467-0 x 26
Expiration: May 27 (DTE: 161) | Historical Volatility: 20.43%

Calls								
Volume	Open Int.	Delta	Impl. Vol	Change	Ask	Bid	Last	Strike
	27	0.8938	12.36%	-4-7	51-5	51-1	47-7s	420-0
		0.8559	13.09%	-4-7	47-7	47-1	44-0s	425-0
	28	0.8131	13.88%	-4-5	44-0	43-4	40-4s	430-0
		0.7719	14.42%	-4-3	40-4	40-0	37-1s	435-0
	28	0.7299	14.93%	-4-1	37-1	36-5	34-0s	440-0
		0.6889	15.30%	-4-0	34-0	33-4	31-0s	445-0
10	148	0.6492	15.45%	-0-2	31-1	30-6	28-0	450-0
32	151	0.6067	16.06%	-3-5	28-4	28-1	25-6s	455-0
4	663	0.5626	19.39%	+3-5	26-0	25-5	27-0	460-0
5	1378	0.5285	16.48%	-3-5	23-6	23-3	21-0s	465-0
209	2625	0.4966	19.01%	+2-5	21-4	21-2	21-6	470-0
62	912	0.4626	18.73%	+1-7	19-5	19-3	19-2	475-0
48	3033	0.4361	19.86%	+3-0	17-7	17-4	18-5	480-0
35	567	0.4050	19.74%	+2-4	16-1	15-7	16-5	485-0
86	2318	0.3759	19.81%	+2-2	14-5	14-3	15-0	490-0
	414	0.3300	18.09%	-2-2	13-2	13-0	11-4s	495-0
226	7560	0.3246	20.27%	+2-1	12-0	11-6	12-4	500-0
20	562	0.3008	20.46%	+2-0	10-7	10-5	11-3	505-0
105	2766	0.2787	20.68%	+1-7	9-7	9-5	10-3	510-0

At the money May corn calls at ~3.9c/month. A notch higher than you would like to see but far from pricey. Build yourself a bull call spread with the short side somewhere 550+, or just own a slightly OTM call option and call it a day. I lean towards the latter, but corn has not gotten cheap enough that I would add to what I have.

March Corn ~ Weekly Continuous



If we zoom out to a weekly we have yet to close above that 100-week MA. That will be a good sign when we do.



I promised you spreads. The Dec/March Corn spread has firmed post harvest. Hardly news. With Iowa corn harvest slower than average and a shorter crop in Illinois I think that can be expected. Should that spread continue to climb that would be a better indicator of tighter corn stocks. Monitor and adjust accordingly.

Soybeans

Keeping with the spread narrative the F/H soybean spread has been climbing steadily since bottoming at -10'6 on October 5th.



Bulls would argue that it's a warning there are not enough beans, I would argue more beans were stored this year than previous. The market will tell us eventually, but I would be curious to know if handlers are willing to bull spread it here. I doubt it. I would assume they are silently carrying what they have bought, which may not be enough for their books.

Jan Soybeans ~ Daily

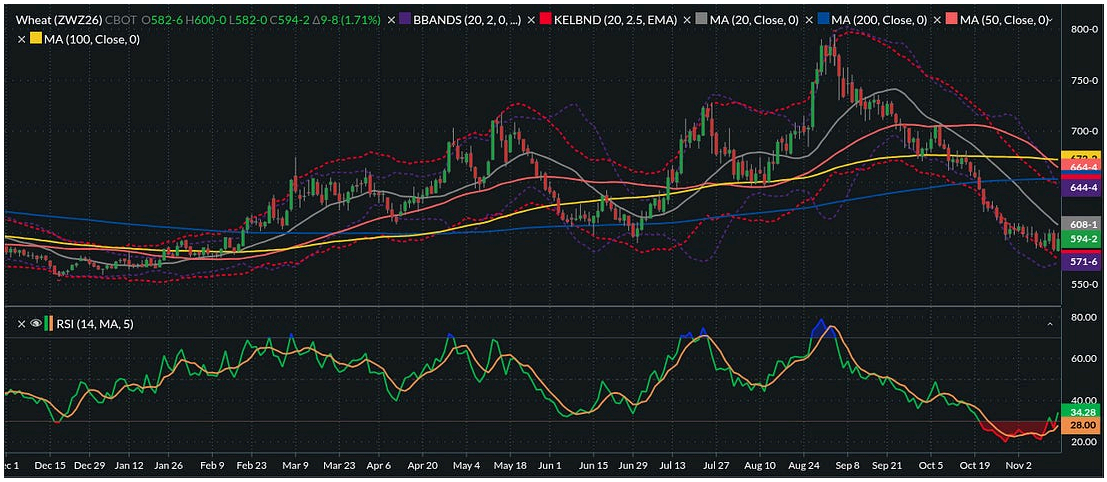


Switching back to price it seems Jan Soybeans have been content to push the 20 day moving average for the first time since they began the fall. Sustained closure above that level into the first part of next week would be positive.

Until we know more about south american weather I still think beans are a bit of a gamble. Bean longs of course loved that yield adjustment early in the week. I would argue they kinda HAD to do something there...or there would have been blood. I am not convinced that just because a bullish report came out we are back to party time. I look forward to Monday's trade.

Wheat

December Wheat ~ Daily



I'll keep it super brief on wheat. It hasn't enjoyed the bounce that corn and beans have just yet. It has also climbed out of RSI oversold territory. Ownership at these levels is still pretty attractive and you love the action today. If you're going to do something, do it with options.

Livestock

February Lean Hogs ~ Daily



The hog market must have read my note last week. We've had a nice week of positive trade and prices have shown strength. You would still love to see them close above $64 for a trend reversal. They have trapped bulls before. Again, I look to Monday before getting too excited.

December Live Cattle ~ Weekly Continuous



That's right, bovine have entered the article. On a weekly chart the December contract touched the bottom of its range at ~211. It has since traded back to the 100-week at 220. Bulls want it to trade back above that level next week, and bears are arguing it is feeling a bit squishy here.

All I will say is those weekly bands are starting to get tighter. We either trade the band and channel ranges again or we could could have a breakout to either end. Needless to say the daily ranges are volatile so please be careful. I hope to do a special on cattle soon.

Conclusion

Its relatively quiet in the markets. It feels like a taking a breath after the aggressive selling that has occurred recently. That is okay. There are things that price needs to figure out. I will not craft a narrative that pushes urgency, though the breather may allow a more sober look at positions.

What I can write in a brief article does much less good than an actual conversation concerning your goals. If you find yourself in want of that conversation. Reach out to mitch.clod@wicllc.org or 815.626.0883.

Thank you for your support.

✓ Subscribed

Share

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